

Playbook: Non-Solicitation

SECTION 14: NON-SOLICITATION PROVISIONS

14.1 Scope and Application

This section governs the negotiation of employee non-solicitation covenants in all inbound vendor agreements, outbound enterprise customer MSAs, channel partner agreements, and mutual NDAs entered into by Northwind Systems Inc. ("Northwind"). All attorneys on the Northwind legal team must apply these standards uniformly.

14.2 Preferred Position (Model Clause Language)

When acting as the drafting party, or when counterparty requests are neutral, legal counsel shall insert the following model clause without modification:

> "14.2 Mutual Non-Solicitation. During the term of this Agreement and for a period of twelve (12) months following its termination or expiration for any reason, neither Party shall, directly or indirectly, solicit, hire, engage, or recruit any employee, contractor, or consultant of the other Party who was involved in the performance, delivery, or receipt of services under this Agreement, provided that neither Party shall be restricted from making general public advertisements for employment not specifically targeted at personnel of the other Party, nor from hiring any individual who responds to such general advertisements or who approaches a Party on an unsolicited basis."

14.3 Fallback Position

If the counterparty rejects the mutual twelve (12) month restriction, counsel is authorized to utilize the following tiered fallback positions in order of preference:

- * Fallback Tier 1: Mutual restriction reduced to six (6) months, maintaining the carve-out for general public advertisements and unsolicited applicants.
- * Fallback Tier 2: Unilateral restriction applicable only to Northwind restricting recruitment of the counterparty's personnel for six (6) months, provided the counterparty agrees to zero restriction on Northwind's personnel.
- * Fallback Tier 3: Complete deletion of the non-solicitation covenant, provided the contract value exceeds Fifty Thousand United States Dollars (\$50,000 USD) annually.

14.4 Walk-Away Position

Counsel shall break negotiations and escalate to the General Counsel if the counterparty insists upon any of the following terms, as these represent Northwind's non-negotiable walk-away thresholds:

1. A non-solicitation duration exceeding twelve (12) months post-termination.
2. A restriction that applies enterprise-wide to all Northwind employees rather than being limited to personnel who performed services under the specific agreement.
3. Any liquidated damages, placement fee, or recruitment penalty clause that exceeds three hundred percent (300%) of the hired individual's annualized base salary, or any liquidated damages clause containing a monetary floor exceeding Twenty-Five Thousand United States Dollars (\$25,000 USD) per hiring event without a corresponding cure period.
4. Absence of a standard carve-out for general public job postings and unsolicited inbound candidates.

14.5 Specific Numeric and Categorical Thresholds

All contract reviews must strictly enforce the following operational thresholds:

* Monetary Floor for Deletion: Contracts with an Annual Contract Value (ACV) below Twenty-Five Thousand United States Dollars (\$25,000 USD) are prohibited from conceding a total deletion of the non-solicitation clause without VP of Legal approval.

* Cure Period for Alleged Breaches: Any contractual cure period for an alleged breach of the non-solicitation covenant must be set at precisely thirty (30) calendar days from receipt of written notice before any legal or financial remedies may be pursued by the non-breaching party.

* Notice Period for Termination for Cause (Non-Solicit Breach): A non-breaching party must provide fifteen (15) business days' prior written notice detailing the specific hiring violation before exercising any right to suspend performance or terminate the underlying commercial agreement.

* Liquidated Damages Multiplier Cap: Where a counterparty demands a hiring fee or buyout provision in lieu of injunctive relief, the maximum allowable cap is two hundred percent (200%) of the departing employee's prior twelve (12) months' total compensation paid by Northwind.

14.6 Mandatory Escalation Pathways and Named Exceptions

Deviations from the preferred or fallback positions outlined in Sections 14.2 and 14.3 are strictly prohibited unless routed through the following named escalation pathways:

1. Strategic Enterprise Accounts: Any non-solicitation restriction requested by a Fortune 500 counterparty that covers all Northwind business units rather than the dedicated delivery team must be escalated to Marcus Vance, Chief Executive Officer.
2. Strategic Vendor Exceptions: Any agreement with an essential cloud infrastructure or core SaaS vendor (specifically AWS, Salesforce, or Snowflake) that requires Northwind to accept a unilateral, twenty-four (24) month non-solicitation restriction must be escalated to Elena Rostova, Chief Technology Officer, to verify engineering independence.
3. M&A and Joint Venture Pre-Clearance: Any non-solicitation term embedded within a binding Letter of Intent (LOI) or definitive partnership agreement exceeding Two Hundred Fifty Thousand United States Dollars (\$250,000 USD) in annual scope that deviates from standard fallback tiers must be escalated to Sarah Lin, VP of Finance.

14.7 Counterparty Language Evaluation Guidelines

* Acceptable Counterparty Language (Example 1):

> ""Neither party shall solicit for employment any employee of the other party who was directly introduced or utilized in connection with the Statement of Work, for a period of six (6) months following project completion, excluding general solicitations published in media of general circulation.""

Rationale: Acceptable because duration is reduced to six months, scope is correctly narrowed to project participants, and standard general solicitation carve-out is present.

* Acceptable Counterparty Language (Example 2):

> ""In the event either party hires an employee of the other party who was engaged in providing services under this Agreement within twelve (12) months of their departure, the hiring party shall pay to the other party a placement fee equal to one hundred percent (100%) of the candidate's first-year base salary, subject to a thirty (30) day written cure period to rescind the offer.""

Rationale: Acceptable because the fee multiplier (100%) is below the 300% walk-away cap, and the inclusion of a thirty (30) day cure period protects Northwind against inadvertent breaches.

* Unacceptable Counterparty Language (Example 1):

> ""Customer agrees that for the term of this Agreement and three (3) years thereafter, Customer will not solicit, employ, or engage any current or former employee, contractor, or advisory board member of

Northwind Systems, regardless of whether such person performed work under this Agreement."*

Rationale: Unacceptable because the three-year duration exceeds the 12-month walk-away ceiling, the scope incorrectly covers former employees and advisory board members, and it applies enterprise-wide rather than to project personnel.

* Unacceptable Counterparty Language (Example 2):

> *"If Vendor hires any Northwind personnel during the term or within one year post-termination, Vendor shall immediately pay liquidated damages of Fifty Thousand Dollars (\$50,000 USD) or six months of the employee's salary, whichever is greater, with no right to cure."*

Rationale: Unacceptable because the \$50,000 monetary floor violates the \$25,000 ceiling, and the explicit exclusion of a cure period violates mandatory Northwind risk policy.